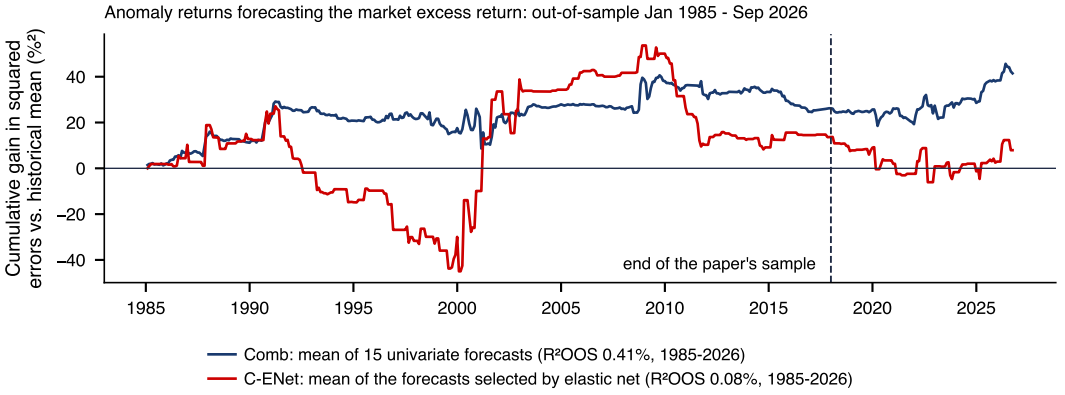
Anomaly returns forecasting the market excess return: out-of-sample Jan 1985 - Sep 2026
Cumulative gain in squared errors vs. historical mean (%²)
40
20
0
−20
−40
1985
1990
1995
2000
2005
2010
2015
2020
2025
end of the paper's sample
Comb: mean of 15 univariate forecasts (R²OOS 0.41%, 1985-2026)
C-ENet: mean of the forecasts selected by elastic net (R²OOS 0.08%, 1985-2026)